

physical conditions or artificial obstructions referred to in GCC Sub-Clause 35.1, the Time for Completion shall be extended in accordance with GCC Clause 40.

36. Change in Laws and Regulations

36.1 If, after the date twenty-eight (28) days prior to the date of Bid submission, in India, any law, regulation, ordinance, order or by-law having the force of law is enacted, promulgated, abrogated or changed which shall be deemed to include any change in interpretation or application by the competent authorities, that subsequently affects the costs and expenses of the Contractor and/or the Time for Completion, the Contract Price shall be correspondingly increased or decreased, and/or the Time for Completion shall be reasonably adjusted to the extent that the Contractor has thereby been affected in the performance of any of its obligations under the Contract. Notwithstanding the foregoing, such additional or reduced costs shall not be separately paid or credited if the same has already been accounted for in the price adjustment provisions where applicable, in accordance with the SCC pursuant to GCC Sub-Clause 11.2 or under other provisions of the Contract.

37. Force Majeure

37.1 “Force Majeure” shall mean any event beyond the reasonable control of the Employer or of the Contractor, as the case may be, and which is unavoidable notwithstanding the reasonable care of the Party affected, and shall include, without limitation, the following:

- (a) war, hostilities or warlike operations whether a state of war be declared or not, invasion, act of foreign enemy and civil war
- (b) rebellion, revolution, insurrection, mutiny, usurpation of civil or military government, conspiracy, riot, civil commotion and terrorist acts
- (c) confiscation, nationalization, mobilization, commandeering or requisition by or under the order of any government or de jure or de facto authority or ruler or any other act or failure to act of any local state or national government authority
- (d) strike, sabotage, lockout, embargo, import restriction, port congestion, lack of usual means

of public transportation and communication, industrial dispute, shipwreck, shortage or restriction of power supply, epidemics, quarantine and plague

- (e) earthquake, landslide, volcanic activity, fire, flood or inundation, tidal wave, typhoon or cyclone, hurricane, storm, lightning, or other inclement weather condition, nuclear and pressure waves or other natural or physical disaster
- (f) shortage of labor, materials or utilities where caused by circumstances that are themselves Force Majeure.

37.2 If either Party is prevented, hindered or delayed from or in performing any of its obligations under the Contract by an event of Force Majeure, then it shall notify the other in writing of the occurrence of such event and the circumstances thereof within fourteen (14) days after the occurrence of such event.

37.3 The Party who has given such notice, unless disputed by the other Party, shall be excused from the performance or punctual performance of its obligations under the Contract for so long as the relevant event of Force Majeure continues and to the extent that such Party's performance is prevented, hindered or delayed. The Time for Completion shall be extended in accordance with GCC Clause 40.

37.4 The Party or Parties affected by the event of Force Majeure shall use reasonable efforts to mitigate the effect thereof upon its or their performance of the Contract and to fulfill its or their obligations under the Contract, but without prejudice to either Party's right to terminate the Contract under GCC Sub-Clauses 37.6 and 38.5.

37.5 No delay or nonperformance by either Party hereto caused by the occurrence of any event of Force Majeure shall

- (a) constitute a default or breach of the Contract, or

- (b) give rise to any claim for damages or additional cost or expense occasioned thereby, subject to GCC Sub-Clauses 32.2, 38.3 and 38.4

if and to the extent that such delay or nonperformance is caused by the occurrence of an event of Force Majeure.

37.6 If the performance of the Contract is substantially prevented, hindered or delayed for a single period of more than ninety (90) days or an aggregate period of more than one hundred and eighty (180) days on account of one or more events of Force Majeure during the currency of the Contract, the Parties will attempt to develop a mutually satisfactory solution, failing which either Party may terminate the Contract by giving a notice to the other, but without prejudice to either Party's right to terminate the Contract under GCC Sub-Clause 38.5.

37.7 In the event of termination pursuant to GCC Sub-Clause 37.6, the rights and obligations of the Employer and the Contractor shall be as specified in GCC Sub-Clauses 42.1.2 and 42.1.3.

37.8 Notwithstanding GCC Sub-Clause 37.5, Force Majeure shall not apply to any obligation of the Employer to make payments to the Contractor herein.

38. War Risks

38.1 "War Risks" shall mean any event specified in paragraphs (a) and (b) of GCC Sub-Clause 37.1 and any explosion or impact of any mine, bomb, shell, grenade or other projectile, missile, munitions or explosive of war, occurring or existing in the India impacting the Site.

38.2 Notwithstanding anything contained in the Contract, the Contractor shall have no liability whatsoever for or with respect to

- (a) destruction of or damage to Facilities, Plant, or any part thereof;
- (b) destruction of or damage to property of the Employer or any third Party; or

(c) injury or loss of life

if such destruction, damage, injury or loss of life is caused by any War Risks, and the Employer shall indemnify and hold the Contractor harmless from and against any and all claims, liabilities, actions, lawsuits, damages, costs, charges or expenses arising in consequence of or in connection with the same.

38.3 If the Facilities or any Plant shall sustain destruction or damage by reason of any War Risks, the Employer shall pay the Contractor for

(a) any part of the Facilities or the Plant so destroyed or damaged to the extent not already paid for by the Employer

and so far as may be required by the Employer, and as may be necessary for completion of the Facilities; and

(b) replacing or making good any such destruction or damage to the Facilities or the Plant or any part thereof .

If the Employer does not require the Contractor to replace or make good any such destruction or damage to the Facilities, the Employer shall either request a change in accordance with GCC Clause 39, excluding the performance of that part of the Facilities thereby destroyed or damaged or, where the loss, destruction or damage affects a substantial part of the Facilities, shall terminate the Contract, pursuant to GCC Sub-Clause 42.1.

If the Employer requires the Contractor to replace or make good on any such destruction or damage to the Facilities, the Time for Completion shall be extended in accordance with GCC 40.

38.4 Notwithstanding anything contained in the Contract, the Employer shall pay the Contractor for any increased costs or incidentals to the execution of the Contract, to the extent reasonable, that are in any way attributable to, consequent on, resulting from, or in any way connected with any War Risks, provided that the

Contractor shall as soon as practicable notify the Employer in writing of any such increased cost.

38.5 If during the performance of the Contract any War Risks shall occur that financially or otherwise materially affect the execution of the Contract by the Contractor, the Contractor shall use its reasonable efforts to execute the Contract with due and proper consideration given to the safety of its and its SubContractors' personnel engaged in the work on the Facilities, provided, however, that if the execution of the work on the Facilities becomes impossible or is substantially prevented for a single period of more than ninety (90) days or an aggregate period of more than one hundred and eighty (180) days on account of any War Risks, the Parties will attempt to develop a mutually satisfactory solution, failing which either Party may terminate the Contract by giving a notice to the other.

38.6 In the event of termination pursuant to GCC Sub-Clauses 38.3 or 38.5, the rights and obligations of the Employer and the Contractor shall be specified in GCC Sub-Clauses 42.1.2 and 42.1.3.

Change in Contract Elements

39. Change in the Facilities 39.1 The Employer shall have the right to propose, and subsequently require, that the Project Manager order the Contractor from time to time during the performance of the Contract to make any change, modification, addition or deletion to, in or from the Facilities hereinafter called "Change", provided that such Change falls within the general scope of the Facilities and does not constitute unrelated work and that it is technically practicable, taking into account both the state of advancement of the Facilities and the technical compatibility of the Change envisaged with the nature of the Facilities as specified in the Contract.

39.2 Notwithstanding GCC Sub-Clauses 39.1, no change made necessary because of any default of the Contractor in the performance of its obligations under the Contract shall be deemed to be a Change, and such change shall not result in any adjustment of the Contract Price or the Time for Completion.

39.3 The pricing of any Change shall, as far as practicable, be calculated in accordance with the rates and prices included in the Contract.

39.4 Employer has the right to introduce a Change by issuing an amendment to the Contract and amending the Contract Price, by varying the quantities of items originally included in the priced Schedule of Items and Bill of Quantities forming part of the Contract, within the limit as specified in SCC at the unit rates of the items specified in the Contract.

40. Extension of Time for Completion

40.1 The Time(s) for Completion specified in the SCC pursuant to GCC Sub-Clause 8.2 shall be extended if the Contractor is delayed or impeded in the performance of any of its obligations under the Contract by reason of any of the following:

- (a) any Change in the Facilities as provided in GCC Clause 39 except if otherwise stated therein.
- (b) any occurrence of Force Majeure as provided in GCC Clause 37, unforeseen conditions as provided in GCC Clause 35, or other occurrence of any of the matters specified or referred to in paragraphs (a), (b) and (c) of GCC Sub-Clause 32.2
- (c) any suspension order given by the Employer under GCC Clause 41 hereof or reduction in the rate of progress pursuant to GCC Sub-Clause 41.2 or
- (d) any changes in laws and regulations as provided in GCC Clause 36 or
- (e) any default or breach of the Contract by the Employer, or any activity, act or omission of the Employer, or the Project Manager, or any other Contractors employed by the Employer, or
- (f) any delay on the part of a SubContractor, provided such delay is due to a cause for which

the Contractor himself would have been entitled to an extension of time under this sub-clause, or

- (g) delays attributable to the Employer or caused by customs, or
- (h) any other matter specifically mentioned in the Contract

by such period as shall be fair and reasonable in all the circumstances and as shall fairly reflect the delay or impediment sustained by the Contractor.

40.2 Except where otherwise specifically provided in the Contract, the Contractor shall submit to the Project Manager a notice of a claim for an extension of the Time for Completion, together with particulars of the event or circumstance justifying such extension as soon as reasonably practicable after the commencement of such event or circumstance. As soon as reasonably practicable after receipt of such notice and supporting particulars of the claim, the Employer and the Contractor shall agree upon the period of such extension. In the event that the Contractor does not accept the Employer's estimate of a fair and reasonable time extension, the Contractor shall be entitled to refer the matter for settlement of dispute in accordance with GCC Sub-Clause 46.

40.3 The Contractor shall at all times use its reasonable efforts to minimize any delay in the performance of its obligations under the Contract.

40.4 In all cases where the Contractor has given a notice of a claim for an extension of time under GCC 40.2, the Contractor shall consult with the Project Manager in order to determine the steps (if any) which can be taken to overcome or minimize the actual or anticipated delay. The Contractor shall there after comply with all reasonable instructions which the Project Manager shall give in order to minimize such delay. If compliance with such instructions shall cause the Contractor to incur extra costs and the Contractor is entitled to an extension of time under GCC 40.1, the amount of such extra costs shall be added to the Contract Price.

41. Suspension

41.1 The Employer may request the Project Manager, by notice to the Contractor, to order the Contractor to suspend performance of any or all of its obligations under the Contract. Such notice shall specify the obligation of which performance is to be suspended, the effective date of the suspension and the reasons therefor. The Contractor shall thereupon suspend performance of such obligation, except those obligations necessary for the care or preservation of the Facilities, until ordered in writing to resume such performance by the Project Manager.

If, by virtue of a suspension order given by the Project Manager, other than by reason of the Contractor's default or breach of the Contract, the Contractor's performance of any of its obligations is suspended for an aggregate period of more than ninety (90) days, then at any time thereafter and provided that at that time such performance is still suspended, the Contractor may give a notice to the Project Manager requiring that the Employer shall, within twenty-eight (28) days of receipt of the notice, order the resumption of such performance or request and subsequently order a change in accordance with GCC Clause 39, excluding the performance of the suspended obligations from the Contract.

If the Employer fails to do so within such period, the Contractor may, by a further notice to the Project Manager, elect to treat the suspension, where it affects a part only of the Facilities, as a deletion of such part in accordance with GCC Clause 39 or, where it affects the whole of the Facilities, as termination of the Contract under GCC Sub-Clause 42.1.

41.2 If

- (a) the Employer has failed to pay the Contractor any sum due under the Contract for considerable period beyond the specified period, has failed to approve any invoice or supporting documents without just cause pursuant to the Appendix to the Contract Agreement titled Terms and Procedures of Payment, or commits a substantial breach of the Contract, the Contractor may give a notice to the Employer that requires payment of

such sum, with interest thereon as stipulated in GCC Sub-Clause 12.3, requires approval of such invoice or supporting documents, or specifies the breach and requires the Employer to remedy the same, as the case may be. If the Employer fails to pay such sum together with such interest, fails to approve such invoice or supporting documents or give its reasons for withholding such approval, or fails to remedy the breach or take steps to remedy the breach within fourteen (14) days after receipt of the Contractor's notice or

- (b) the Contractor is unable to carry out any of its obligations under the Contract for any reason attributable to the Employer, including but not limited to the Employer's failure to provide possession of or access to the Site or other areas in accordance with GCC Sub-Clause 10.2, or failure to obtain any governmental permit necessary for the execution and/or completion of the Facilities,

then the Contractor may by fourteen (14) days' notice to the Employer suspend performance of all or any of its obligations under the Contract, or reduce the rate of progress.

41.3 If the Contractor's performance of its obligations is suspended or the rate of progress is reduced pursuant to this GCC Clause 41, then the Time for Completion shall be extended in accordance with GCC Sub-Clause 40.1, and any and all additional costs or expenses incurred by the Contractor as a result of such suspension or reduction, provided that the Contractor's performance of any of its obligations is suspended for an aggregate period of more than ninety (90) days, then for the time of suspension thereafter and provided that at that time such performance is still suspended, shall be paid by the Employer to the Contractor in addition to the Contract Price, except in the case of suspension order or reduction in the rate of progress by reason of the Contractor's default or breach of the Contract.

41.4 During the period of suspension, the Contractor shall not remove from the Site any Plant, any part of the

Facilities or any Contractor's Equipment, without the prior written consent of the Employer.

42. Termination

42.1 Termination for Employer's Convenience

42.1.1 The Employer may at any time terminate the Contract for any reason by giving the Contractor a notice of termination that refers to this GCC Sub-Clause 42.1.

42.1.2 Upon receipt of the notice of termination under GCC Sub-Clause 42.1.1, the Contractor shall either immediately or upon the date specified in the notice of termination

- (a) cease all further work, except for such work as the Employer may specify in the notice of termination for the sole purpose of protecting that part of the Facilities already executed, or any work required to leave the Site in a clean and safe condition
- (b) terminate all subcontracts, except those to be assigned to the Employer pursuant to paragraph (d) (ii) below
- (c) remove all Contractor's Equipment from the Site, repatriate the Contractor's and its SubContractors' personnel from the Site, remove from the Site any wreckage, rubbish and debris of any kind, and leave the whole of the Site in a clean and safe condition, and
- (d) subject to the payment specified in GCC Sub-Clause 42.1.3,
 - (i) deliver to the Employer the parts of the Facilities executed by the Contractor up to the date of termination
 - (ii) to the extent legally possible, assign to the Employer all right, title and benefit of the Contractor to the Facilities and to the Plant as of the date of termination, and, as may be

required by the Employer, in any subcontracts concluded between the Contractor and its SubContractors; and

- (iii) deliver to the Employer all non-proprietary drawings, specifications and other documents prepared by the Contractor or its SubContractors as at the date of termination in connection with the Facilities.

42.1.3 In the event of termination of the Contract under GCC Sub-Clause 42.1.1, the Employer shall pay to the Contractor the following amounts:

- (a) the Contract Price, properly attributable to the parts of the Facilities executed by the Contractor as of the date of termination
- (b) the costs reasonably incurred by the Contractor in the removal of the Contractor's Equipment from the Site and in the repatriation of the Contractor's and its SubContractors' personnel
- (c) any amounts to be paid by the Contractor to its SubContractors in connection with the termination of any subcontracts, including any cancellation charges
- (d) costs incurred by the Contractor in protecting the Facilities and leaving the Site in a clean and safe condition pursuant to paragraph (a) of GCC Sub-Clause 42.1.2
- (e) the cost of satisfying all other obligations, commitments and claims that the Contractor may in good faith have undertaken with third Parties in connection with the Contract and that are not covered by paragraphs (a) through (d) above.

42.2 Termination for Contractor's Default

42.2.1 The Employer, without prejudice to any other rights or remedies it may possess, may terminate the Contract forthwith in the following circumstances by giving a notice of termination and its reasons therefor to the Contractor, referring to this GCC Sub-Clause 42.2:

- (a) if the Contractor becomes bankrupt or insolvent, has a receiving order issued against it, compounds with its creditors, or, if the Contractor is a corporation, a resolution is passed or order is made for its winding up, other than a voluntary liquidation for the purposes of amalgamation or reconstruction, a receiver is appointed over any part of its undertaking or assets, or if the Contractor takes or suffers any other analogous action in consequence of debt
- (b) if the Contractor assigns or transfers the Contract or any right or interest therein in violation of the provision of GCC Clause 43.
- (c) if the Contractor, in the judgment of the Employer has engaged in Fraud and Corruption, as defined in Attachment 1 to the GCC, in competing for or in executing the Contract.

42.2.2 If the Contractor

- (a) has abandoned or repudiated the Contract
- (b) has without valid reason failed to commence work on the Facilities promptly or has suspended, other than pursuant to GCC Sub-Clause 41.2, the progress of Contract performance for more than twenty-eight (28) days after receiving a written instruction from the Employer to proceed
- (c) persistently fails to execute the Contract in accordance with the Contract or persistently neglects to carry out its

obligations under the Contract without just cause

- (d) refuses or is unable to provide plant, equipment, goods, materials, services or labor sufficient to execute and complete the Facilities in the manner specified in the program furnished under GCC Sub-Clause 18.2 at rates of progress that give reasonable assurance to the Employer that the Contractor can attain Completion of the Facilities by the Time for Completion as extended,

then the Employer may, without prejudice to any other rights it may possess under the Contract including encashment of Performance and other securities, give a notice to the Contractor stating the nature of the default and requiring the Contractor to remedy the same. If the Contractor fails to remedy or to take steps to remedy the same within fourteen (14) days of its receipt of such notice, then the Employer may terminate the Contract forthwith by giving a notice of termination to the Contractor that refers to this GCC Sub-Clause 42.2.

42.2.3 Upon receipt of the notice of termination under GCC Sub-Clauses 42.2.1 or 42.2.2, the Contractor shall, either immediately or upon such date as is specified in the notice of termination,

- (a) cease all further work, except for such work as the Employer may specify in the notice of termination for the sole purpose of protecting that part of the Facilities already executed, or any work required to leave the Site in a clean and safe condition
- (b) terminate all subcontracts, except those to be assigned to the Employer pursuant to paragraph (d) below

- (c) deliver to the Employer the parts of the Facilities executed by the Contractor up to the date of termination
- (d) to the extent legally possible, assign to the Employer all right, title and benefit of the Contractor to the Facilities and to the Plant as of the date of termination, and, as may be required by the Employer, in any subcontracts concluded between the Contractor and its SubContractors
- (e) deliver to the Employer all drawings, specifications and other documents prepared by the Contractor or its SubContractors as of the date of termination in connection with the Facilities.

42.2.4 The Employer may enter upon the Site, expel the Contractor, and complete the Facilities itself or by employing any third Party. The Employer may, to the exclusion of any right of the Contractor over the same, take over and use with the payment of a fair rental rate to the Contractor, with all the maintenance costs to the account of the Employer and with an indemnification by the Employer for all liability including damage or injury to persons arising out of the Employer's use of such equipment, any Contractor's Equipment owned by the Contractor and on the Site in connection with the Facilities for such reasonable period as the Employer considers expedient for the supply and installation of the Facilities.

Upon completion of the Facilities or at such earlier date as the Employer thinks appropriate, the Employer shall give notice to the Contractor that such Contractor's Equipment will be returned to the Contractor at or near the Site and shall return such Contractor's Equipment to the Contractor in accordance with such notice. The Contractor shall thereafter without delay and at its cost remove or arrange removal of the same from the Site.

42.2.5 Subject to GCC Sub-Clause 42.2.6, the Contractor shall be entitled to be paid the Contract Price attributable to the Facilities executed as of the date of termination, the value of any unused or partially used Plant on the Site, and the costs, if any, incurred in protecting the Facilities and in leaving the Site in a clean and safe condition pursuant to paragraph (a) of GCC Sub-Clause 42.2.3. Any sums due the Employer from the Contractor accruing prior to the date of termination shall be deducted from the amount to be paid to the Contractor under this Contract.

42.2.6 If the Employer completes the Facilities, the cost of completing the Facilities by the Employer shall be determined.

If the sum that the Contractor is entitled to be paid, pursuant to GCC Sub-Clause 42.2.5, plus the reasonable costs incurred by the Employer in completing the Facilities, exceeds the Contract Price, the Contractor shall be liable for such excess.

If such excess is greater than the sums due the Contractor under GCC Sub-Clause 42.2.5 and any other monies otherwise due to the Contractor under the Contract, and including remittances, if any, received by the Employer through securities furnished by the Contractor, the Contractor shall pay the balance to the Employer, and if such excess is less than the sums as aforesaid, the Employer shall pay the balance to the Contractor.

The Employer and the Contractor shall agree, in writing, on the computation described above and the manner in which any sums shall be paid.

42.3 Termination by the Contractor

42.3.1 The Contractor may terminate the Contract forthwith by giving a notice to the Employer to that effect, referring to this GCC Sub-Clause 42.3.1, if the Employer becomes bankrupt or insolvent, has a receiving order issued against it, compounds with its creditors, or, being a

corporation, if a resolution is passed or order is made for its winding up (other than a voluntary liquidation for the purposes of amalgamation or reconstruction), a receiver is appointed over any part of its undertaking or assets, or if the Employer takes or suffers any other analogous action in consequence of debt.

42.3.2 If the Contract is terminated under GCC Sub-Clauses 42.3.1, then the Contractor shall immediately

- (a) cease all further work, except for such work as may be necessary for the purpose of protecting that part of the Facilities already executed, or any work required to leave the Site in a clean and safe condition
- (b) terminate all subcontracts, except those to be assigned to the Employer pursuant to paragraph (d) (ii)
- (c) remove all Contractor's Equipment from the Site and repatriate the Contractor's and its SubContractors' personnel from the Site, and
- (d) subject to the payment specified in GCC Sub-Clause 42.3.3,
 - (i) deliver to the Employer the parts of the Facilities executed by the Contractor up to the date of termination
 - (ii) to the extent legally possible, assign to the Employer all right, title and benefit of the Contractor to the Facilities and to the Plant as of the date of termination, and, as may be required by the Employer, in any subcontracts concluded between the Contractor and its SubContractors, and

- (iii) deliver to the Employer all drawings, specifications and other documents prepared by the Contractor or its SubContractors as of the date of termination in connection with the Facilities.

42.3.3 If the Contract is terminated under GCC Sub-Clauses 42.3.1 , the Employer shall pay to the Contractor all payments specified in GCC Sub-Clause 42.1.3, and reasonable compensation for all loss, except for loss of profit, or damage sustained by the Contractor arising out of, in connection with or in consequence of such termination.

42.3.4 Termination by the Contractor pursuant to this GCC Sub-Clause 42.3 is without prejudice to any other rights or remedies of the Contractor that may be exercised in lieu of or in addition to rights conferred by GCC Sub-Clause 42.3.

42.4 In this GCC Clause 42, the expression “Facilities executed” shall include all work executed, Installation Services provided, and all Plant acquired, or subject to a legally binding obligation to purchase, by the Contractor and used or intended to be used for the purpose of the Facilities, up to and including the date of termination.

42.5 In this GCC Clause 42, in calculating any monies due from the Employer to the Contractor, account shall be taken of any sum previously paid by the Employer to the Contractor under the Contract, including any advance payment paid pursuant to the Appendix to the Contract Agreement titled Terms and Procedures of Payment.

43. Assignment

43.1 Neither the Employer nor the Contractor shall, without the express prior written consent of the other Party, which consent shall not be unreasonably withheld, assign to any third Party the Contract or any part thereof, or any right, benefit, obligation or interest therein or thereunder.

Claims, Disputes and Arbitration

44. Contractor's Claims

44.1 If the Contractor considers himself to be entitled to any extension of the Time for Completion and/or any additional payment, under any Clause of these Conditions or otherwise in connection with the Contract, the Contractor shall submit a notice to the Project Manager, describing the event or circumstance giving rise to the claim. The notice shall be given as soon as practicable, and not later than 28 days after the Contractor became aware, or should have become aware, of the event or circumstance.

If the Contractor fails to give notice of a claim within such period of 28 days, the Time for Completion shall not be extended, the Contractor shall not be entitled to additional payment, and the Employer shall be discharged from all liability in connection with the claim. Otherwise, the following provisions of this Sub-Clause shall apply.

The Contractor shall also submit any other notices which are required by the Contract, and supporting particulars for the claim, all as relevant to such event or circumstance.

The Contractor shall keep such contemporary records as may be necessary to substantiate any claim, either on the Site or at another location acceptable to the Project Manager. Without admitting the Employer's liability, the Project Manager may, after receiving any notice under this Sub-Clause, monitor the record-keeping and/or instruct the Contractor to keep further contemporary records. The Contractor shall permit the Project Manager to inspect all these records, and shall (if instructed) submit copies to the Project Manager.

Within 42 days after the Contractor became aware (or should have become aware) of the event or circumstance giving rise to the claim, or within such other period as may be proposed by the Contractor and approved by the Project Manager, the Contractor shall send to the Project Manager a fully detailed claim which includes full supporting particulars of the basis of the claim and of the extension of time and/or additional payment claimed. If the event or

circumstance giving rise to the claim has a continuing effect:

- (a) this fully detailed claim shall be considered as interim;
- (b) the Contractor shall send further interim claims at monthly intervals, giving the accumulated delay and/or amount claimed, and such further particulars as the Project Manager may reasonably require; and
- (c) the Contractor shall send a final claim within 28 days after the end of the effects resulting from the event or circumstance, or within such other period as may be proposed by the Contractor and approved by the Project Manager.

Within 42 days after receiving a claim or any further particulars supporting a previous claim, or within such other period as may be proposed by the Project Manager and approved by the Contractor, the Project Manager shall respond with approval, or with disapproval and detailed comments. He may also request any necessary further particulars, but shall nevertheless give his response on the principles of the claim within such time.

The requirements of this Sub-Clause are in addition to those of any other Sub-Clause which may apply to a claim. If the Contractor fails to comply with this or another Sub-Clause in relation to any claim, any extension of time and/or additional payment shall take account of the extent (if any) to which the failure has prevented or prejudiced proper investigation of the claim, unless the claim is excluded under the second paragraph of this Sub-Clause.

In the event that the Contractor and the Employer cannot agree on any matter relating to a claim, either Party may refer the matter for settlement of dispute pursuant to GCC 46 hereof.

45. Disputes and Arbitration

- 45.1 The Parties shall seek to resolve any dispute amicably by mutual consultation. If either Party objects to any action or inaction of the other Party, the objecting Party may file a written Notice of Dispute to the other Party providing

in detail the basis of the dispute. The Party receiving the Notice of Dispute will consider it and respond in writing within fourteen (14) days after receipt. If that Party fails to respond within fourteen (14) days, or the dispute cannot be amicably settled within fourteen (14) days following the response of that Party, Clause **GCC 45.2** shall apply. The Parties shall use their best efforts to settle amicably all disputes arising out of or in connection with this Contract or its interpretation.

45.2 If, the parties have failed to resolve their dispute or difference by such mutual consultation as per Clause **GCC 45.1**, then either the Employer or the Contractor may give notice to the other party of its intention to commence conciliation/ arbitration, as hereinafter provided, as to the matter in dispute, and no conciliation/ arbitration in respect of this matter may be commenced unless such notice is given. Any dispute or difference in respect of which a notice of intention to commence conciliation/ arbitration has been given in accordance with this Clause shall be finally settled in accordance with the following provisions:

(i) Disputes shall be settled through conciliation or arbitration in accordance with Arbitration and Conciliation Act, 1996 including amendments thereto, as applicable from time to time, in accordance with the rules thereto and the Applicable Law.

In any arbitration proceeding hereunder:

- (a) proceedings shall be held in the place mentioned in **SCC** which shall be the seat as well as the venue of arbitration except otherwise agreed by the Parties.
- (b) English language shall be the official language for all purposes; and
- (c) the decision of the sole arbitrator or of a majority of the arbitrators (or of the third arbitrator if there is no such majority) shall be final and binding and shall be enforceable in the court of competent jurisdiction in India, as per the Applicable Law

45.3 Notwithstanding any dispute and/or reference to conciliation/ arbitration herein,

- (a) the parties shall continue to perform their respective obligations under the Contract unless they otherwise agree; and

the Purchaser shall pay the Supplier any monies due to the Supplier.

46. Up-front intimation of approved manufacturers and criterion for Fresh Vendor approval

46.1 Employer shall up-front intimate list containing name of already approved vendors/manufacturers of various sub-transmission and distribution materials. Employer shall up-load the list on their web portal. The turnkey Contractor shall choose one or more than one vendors from the pre-approved lists depending upon capacity and capability of vendors to supply the materials for System Strengthening works. No separate approval for vendor shall be required from Employer.

Also, normal procedure being followed for empanelment of new vendors shall be uploaded and up-front intimated to all turnkey Contractors. In case turnkey Contractor desires to add new vendor, up-front intimation shall be available on criterion and procedure for selection of vendors.

47. Up-front intimation of Guaranteed Technical Particulars

47.1 Technical Specifications are enclosed with the bid documents. Employer shall up-front intimate acceptable Guaranteed Technical Particulars of various materials through their web portal.

47.2 The turnkey Contractor will examine these documents and supply only those materials which meets the above acceptable criterion. In case there are Employer's approved vendor(s) (one or more) through which turnkey Contractor wish to procure the materials and are complying with the acceptable GTP parameters of Employer as available on their web portal, there would not be any formality needed like approval of sub-vendor or approval of GTP again.

47.3 In event of change in name of vendor or change in GTP parameter, separate approval of Employer shall be sought by successful turnkey Contractor.

48. Turnkey Contractor's Store at Project site

48.1 "Project wise separate Site Stores shall be maintained and manned by turnkey Contractor. Same store shall not be used for more than one projects even if neighboring districts' projects are awarded to the same agency. The turnkey Contractor shall deploy his own manpower in stores for round the clock security and for its day to day operation through trained Store-keeper.

Since materials received in this stores are owned by Employer (including owner's free issued material) and are pre-dispatch inspected by Employer's representative/ or NABL lab inspected, materials in a lot shall not be issued to the sub-Contractor for physical execution by turnkey Contractor. Instead, day to day requirements shall be issued to the working teams of sub-vendors by authorized store-keeper. In exceptional cases, on prior written permission of Employer, materials for a week time may be issued to working team of sub-vendor. Daily accounting of materials receipt, materials issues, materials in custody of sub-vendors are to be maintained by turnkey Contractor. Handing of Stores shall, in no circumstances, be off loaded.

In no case, inter-project transfer of materials shall be permitted.

49. Handing over of assets

49.1 On completion of erection and testing of a section of line, DTR substation, power substation, contracting agency shall submit digital photographs in soft copies of each and every support structures along-with submission of completion report in support of their claim for energisation and handing over of assets. In addition, Contractor shall also ensure 100% tagging of assets on GIS portal provided by Employer. The Mobile App for GIS asset tagging shall be provided by the Employer. Project Manager within a week time, shall review the photographs for acceptance of quality of works and shall immediately deploy officials for joint measurement and inspection of executed works for energisation. In parallel, a requisition to State Electrical Inspectorate shall also

be submitted by Project Manager. Fee/Charges for inspection by electrical inspector shall be paid by Project Manager (Employer).

While offering section of work / substation for commissioning and handing over, turnkey Contractor shall provide pre-commissioning test reports and detailed checklist (format provided along with quality guidelines at Part 2: Section 6).

50. Supply of Materials in lots

50.1 Item wise mobilization of materials shall be planned in as decided by the Employer. Employer shall arrange pre-dispatch inspections for at least as decided by the Employer at his own expenditure. However, in case of approved quantity variation, employer may consider to increase the number of Lots. In addition, Employer shall also ensure that samples (as per IS Sampling standard) from 01st lot and one other lot randomly selected by the Employer will be sent to nearest NABL accredited lab approved by the employer for testing directly from the manufacturing unit. TkC shall incur the expenses of testing. During the Pre-Dispatch inspection of materials, Contractor shall also mandatorily send its authorized person in the manufacturing facility. The authorized person of Contractor shall also sign the joint inspection report along with the Employer. All such cost shall be borne by the Contractor.

51. Contract Closing

51.1 On completion of handing over formality and successfully completion of defect liability / guarantee period, the contract shall be closed on completion of following formality:

- I. Material reconciliation of owner free issued materials as well as material supplied by turnkey Contractor,
- II. Payment reconciliations, submission and verifications that reconciliation of payment toward statutory provisions like GST, any other dues etc. Reconciliation statement shall be verified and vetted by chartered accountant.
- III. Approval for extension of Completion period, with or without compensation, as required.

- IV. Certification from agency regarding payment of dues to its
 - i. Sub-vendors
 - ii. Workers/ contract laborers,
 - iii. Payment of statutory dues toward Provident Funds, wages etc. as required.
- V. Certification of Project Manager & agency to the effect that erection, testing and commissioning of the equipment have been completed as per specifications laid down in the contract and defects noted at the time of commissioning and notified to the agency have been liquidated to the satisfaction of Employer.
- VI. Removal of construction meant for site stores, hutment, labour colony etc. in the premises of EMPLOYER.
- VII. Certificate from Project Manager in charge regarding final amendment of drawings and detailed of such amendments,
- VIII. Drawing receipt certificate by the Project Manager,
- IX. Receipt of compliance report on Quality Assurance Mechanism along with photograph, Assurance documents by Project Manager
- X. Shortfall in equipment / Line performance Certificate issued by Project Manager,
- XI. No demand certificate issued by Contractor,
- XII. Certificate about completion of Defect Liability Period of the package by Project Manager,
- XIII. Certificate regarding return of Performance Security / Indemnity Bond by Project Manager/Employer.

52. Suspension of business dealings

52.1 Employer shall suspend business dealings with Contractor on following grounds for the period as decided by Project Manager:-

- a. If the Contractor fails to submit Performance Security after issuance of Letter of Intent (LoI) within 28 days.
- b. If the Contractor fails to accept the award of contract or has abandoned or repudiated the Contract.

- c. If the Contractor is found to be non-performing in execution of contract by the Employer.
- d. If a disaster / major failure / accident / collapse of a structure / system is caused during erection or during defect liability period due to negligence of Contractor or design deficiency or poor quality of execution.
- e. Misbehavior or physical manhandling by the Contractor or his representative or any person acting on his behalf with any official of the Company dealing with the concerned contract is established.
- f. If the Director / Owner of the Contractor, proprietor or partner of the Contractor, is convicted by a court of law for offences involving corrupt and fraudulent practices including moral turpitude in relation to its business dealings with the government or State Public Sector Undertakings or Central Public Sector Undertakings or Employer or Employer's group companies, during the last five years.
- g. If the proprietors of the Contractor have been guilty of malpractices such as bribery, corruption, fraud, substitution of the tenders, interpolations, etc.
- h. If the Contractor continuously refuses to return / refund the dues of Employer or Employer's group companies, without showing adequate reason and this is not due to any reasonable dispute which would attract proceedings in arbitration or court of Law;
- i. If the Contractor employs a public servant dismissed / removed or employs a person

convicted for an offence involving corruption or abetment of such offences;

- j. If business dealings with the Contractor have been banned by the Ministry of Power or Government of India and the ban is still in force,
- k. If it is established that Contractor has resorted to corrupt, fraudulent practices including misrepresentation of facts;
- l. If the Contractor uses intimidation/threatening or brings undue outside pressure on the Project Manager or his authorised representatives or its officials in acceptance / performance of the job under the contract.
- m. If the Contractor indulges in repeated and / or deliberate use of delay tactics in complying with contractual stipulations;
- n. If the Contractor is found to be involved in cartel formation during bidding.
- o. On willful indulgence by the Contractor in supplying sub-standard material with respect to Technical Specifications under the Contract irrespective of whether pre-dispatch inspection was carried out by Employer or not;
- p. If the Contractor is declared bankrupt or insolvent or its financial position has become unsound, and in the case of a limited company, it is wound up or liquidated.
- q. Established litigant nature of the Contractor to derive undue benefit;
- r. Continued poor performance of the Contractor;

- s. If the Contractor violates the provisions of the Integrity Pact provided in the Contract.
- t. If the Contractor commits fraud as defined under the Fraud Prevention Policy of Employer.
- u. If the Contractor has assigned or transferred the contract or engaged subcontractor(s) without the prior approval of the Competent Authority in violation of the provisions of the contract.
- v. If the Contractor misuses the premises or facilities of the Employer, forcefully occupies, tampers or damages the Employer's properties including land, water resources, forests / trees, etc.
- w. If the security consideration, including questions of loyalty of the Contractor to the state, so warrants;

53. Environment and social (E&S) Requirements-

- a-** Bidder's compliance with environmental and labor standards consistent with applicable national and state laws and regulations.
- b-** Bidder to ensure implementation of environmental and social risks mitigation measures, as identified in the Environmental and Social Impact Assessment (ESIA) and further detailed in the Environmental and Social Management Plan (ESMP), as far as they are relevant to the contract.
- c-** Bidder to ensure implementation of measures for prevention and prohibition of sexual exploitation and abuse (SEA), sexual harassment (SH) and any form of gender-based violence.
- d-** Bidder to prohibit any activities involving forced labor and child labor.
- e-** Bidder to build capacity of relevant personnel on E&S risk management.
- f-** Once contract is awarded, bidder shall prepare and submit a Contractor's Environmental and Social Management Plan based on actual site conditions.

53.1 The bidder shall ensure that the staff responsible for installation/erection, is not involved in any activity leading to sexual exploitation and abuse and sexual harassment (SEA&SH) or any kind of gender-based violence (GBV).

53.2 The bidder shall ensure that staff responsible for installation adheres to labor laws and safety norms.

53.3 The bidder shall submit with its bid a declaration to demonstrate that works, goods and services and related materials and products to be used for the project do not involve production or activities involving forced labor and/or child labor. Further, the bidder will undertake a due diligence of its suppliers and sub-sub-suppliers to ensure that production or activities under the project does not involve forced labor and/or child labor.

ATTACHMENT 1 to GCC : Fraud and Corruption

1. Purpose
 - 1.1 Government's/ Maharashtra State Distribution Company Limited Anti-Corruption Laws/ Guidelines apply with respect to procurement.
2. Requirements
 - 2.1 Maharashtra State Distribution Company Limited requires that bidders (applicants/proposers), consultants, Contractors and suppliers; any sub-Contractors, sub-consultants, service providers or suppliers; any agents (whether declared or not); and any of their personnel, observe the highest standard of ethics during the procurement process, selection and contract execution, and refrain from Fraud and Corruption.
 - 2.2 To this end, Maharashtra State Distribution Company Limited:
 - I. Defines, for the purposes of this provision, the terms set forth below as follows:
 - i. "corrupt practice" is the offering, giving, receiving, or soliciting, directly or indirectly, of anything of value to influence improperly the actions of another party;
 - ii. "fraudulent practice" is any act or omission, including misrepresentation, that knowingly or recklessly misleads, or attempts to mislead, a party to obtain financial or other benefit or to avoid an obligation;
 - iii. "collusive practice" is an arrangement between two or more parties designed to achieve an improper purpose, including to influence improperly the actions of another party;
 - iv. "coercive practice" is impairing or harming, or threatening to impair or harm, directly or indirectly, any party or the property of the party to influence improperly the actions of a party;
 - v. "obstructive practice" is:
 - (a) deliberately destroying, falsifying, altering, or concealing of evidence material to the investigation or making false statements to investigators in order to materially impede investigation into allegations of a corrupt, fraudulent, coercive, or collusive practice; and/or threatening, harassing, or intimidating any party to prevent it from disclosing its knowledge of matters relevant to the investigation or from pursuing the investigation; or
 - II. Rejects a proposal (also referred to as the bid) for award if the Maharashtra State Distribution Company Limited determines that the firm or individual recommended for award, any of its personnel, or its agents, or its sub-consultants, sub-Contractors, service providers, suppliers and/ or their employees, has, directly or indirectly, engaged in corrupt, fraudulent, collusive, coercive, or obstructive practices in competing for the contract in question.
 - III. In addition to the legal remedies set out in the relevant Legal Agreement, may take other appropriate actions,;
 - IV. Pursuant to the Anti- Corruption Laws/ Guidelines and in accordance with due process, Maharashtra State Distribution Company Limited, may sanction a firm or individual, either indefinitely or for a stated period of time, including by publicly declaring such firm or individual ineligible (i) to be awarded or otherwise benefit from contract awarded by Maharashtra State Distribution Company Limited or its subsidiaries/ affiliates, financially or in any other manner; (ii) to be a nominated sub-Contractor, consultant, manufacturer or supplier, or service provider of an otherwise eligible firm being awarded a contract Maharashtra State Distribution Company Limited or its subsidiaries/ affiliates; and (iii) to receive the proceeds of any loan made by the Maharashtra State Distribution Company Limited or otherwise to participate further in the preparation or implementation of any Maharashtra State Distribution Company Limited project.
 - V. And the bidders (applicants/proposers), Consultants, Contractors, service providers and suppliers have entered into **Integrity Pact** which shall also apply in addition to the aforesaid.

ASSESSING CAPACITY OF BIDDER:

The criteria for assessing capacity of bidder shall be as below:

Requirement: The bid capacity of the turnkey contractor, shall be equal to or more than the estimated cost of the tender. The same shall be assessed as per following formula

Bidding capacity = $[A \times N \times 2] - B$

The value of A and B to be based on the entire business of the bidder

- A: Maximum annual turnover in last 5 FYs (to be CA certified)
- N: Years prescribed for work completion under tender (but in order to standardize the same a value of [3] may be taken)
- B. Value of existing commitments & on going works for which LOI/LOA have been issued (to be certified by the Company Secretary / whole-time Director/CEO of the bidder) plus commitments on account of any LI declaration as part of the DISCOM tender opening

Mechanism: If the State/ DISCOM plans to open the financial bids of multiple packages at around the same time, then the following mechanism shall be adopted:

1. Completion of technical evaluation of the packages and notification of the financial bid opening date with at-least 10 days advance notice to the bidders.
2. Bidders to submit the updated details of the bidding capacity, as on / upto 7 days before the opening of financial bid,
3. Financial bids shall be opened in descending order of the package size, starting with the opening of the financial bid of the package/RFD with highest estimated value,
4. Financial bids of only those bidders shall be opened, that have requisite bidding capacity corresponding to the estimated value of any particular RFB / tender,
5. Before opening every financial bid, the Bid Capacity of all bidders shall be assessed as per the defined bidding capacity formula, and including the bid value of previous opened financial bid (if any) for which the bidder is L1
6. The above process shall be repeated until opening of all the balance financial bids.

However, there might be cases wherein the bidder has bid capacity as per the estimated tender value, but L1 quote by the bidder takes it beyond its estimated capacity. Then in such cases, as far as bid capacity clause is concerned, the bidder shall still be considered for award.

Special Conditions of Contract

Number of GCC Clause	Amendments of, and Supplements to, Clauses in the General Conditions of Contract (GCC)
GCC 1.1	Mode of contracting is as under: 1. The Contracts is entered into between the Employer and the Contractor as under: (i) Contract Part I (<i>Supply of Plant Contract</i>): for Supply of Plant on FOR (final place of destination Site/ Project Site) basis interalia including design, engineering, manufacture, testing, transportation, insurance etc. and other services, incidental thereto, as applicable, (ii) Contract Part II (<i>Supply of Services Contract</i>): For providing all services interalia, including unloading and handling of Plant, all labor, Contractor's equipment, temporary works, materials, consumables, design and preparation of layout, engineering drawings, and all matters and things of whatsoever nature, including testing, pre-commissioning and commissioning, operations and maintenance services, the provision of as-built drawings, operations and maintenance manuals, training, etc., as specified in Contract and applicable and necessary for the proper execution of the Installation Services (but excluding the incidental to supply under Contract Part I) and other services, related to and incidental to successful installation of the Plant supplied under the "Contract Part I", at final destination (Site/ Project Site). 2. The award of two separate Contract parts shall not in any way dilute the responsibility of the Contractor for the successful completion of the Facilities as per Contract and Specification and a breach in one part of the Contract shall automatically be construed as a breach of the other part of the Contract which will confer a right on the Employer to terminate the Contract at the risk and the cost of the Contractor. 3 The Contract will be signed in two originals and the Contractor shall be provided with one signed original and the other will be retained by the Employer. 4. If required by the Employer, the Contractor shall provide free of cost to the Employer all the engineering data, drawing and descriptive materials etc. submitted with the its Bid, in at least two (2) copies to form a part of the Contract.
GCC 1.1	The Employer is: Maharashtra State Distribution Company Limited
GCC 1.1	The Project Manager is: <i>Superintending Engineer (Infra) of respective Zone</i>
GCC 6.1	Integrity Pact is applicable as indicated in Attachment 1 to the GCC.

GCC 7.3	Transformer Oil & HRC fuses
GCC 8.1	from the receipt of Notification of Award
GCC 8.2	24 Months
GCC 11.2	The Contract Price is subject to adjustment during performance of the contract to reflect changes in the cost elements such as labor, material, transport and Contractor's equipment in accordance with the procedures specified in the corresponding Appendix to the Contract Agreement as per which the contract price for specified goods/ equipment/ material shall be adjustable as per the method and procedures for the price adjustment specified therein. <i>{Appendix 2 of Form 5 in Section – 8 of the RFB/ bidding documents}</i>. The Contract Price is subject to alteration in the event of a Change in the Facilities as per GCC 39, through an amendment to the Contract.
GCC 13.3.1	1. The Performance Security amount is 3% of Contract Price, and the Standard Form of Performance Security acceptable to the Employer shall be as specified in Section 8. Contract Forms. 2. The Contractor/Bidder shall, within twenty-eight (28) days of the notification of contract award, provide a security in an amount equal to 110% of the advance payment calculated in accordance with the Appendix to the Contract Agreement titled Terms and Procedures of Payment, and in the same currency or currencies.
GCC 13.3.2	The E- Bank Guarantee towards Performance Security shall be issued by a Bank mentioned below: Any Nationalised/Scheduled Commercial Bank with payable at Mumbai only details are as follows: MSEDCL Bank Account No. required for submitting Bank Guarantee Beneficiary Name: MSEDCL Name of Bank- Bank of Maharashtra Bank Branch- FORT, Mumbai. Bank Account NO.: 20045003931 IFSC Code- MAHB0000002
GCC 14.2	Only GST applicable in India, on the Plant and Installation Services provided/ supplied by the Contractor to the Employer under the Contract shall be paid/ reimbursed by Employer against requisite documents, at actuals.
GCC 19.3	Any subcontract of value equal to more than 10% of the Contract Cost shall necessarily require prior approval of the Employer. However, sub-contract for engagement of labour shall not require prior approval of the Employer.
GCC 23	1) Category – A (Pre-Dispatch Inspection & Testing at NABL accredited Labs):

	a) This category shall include high ticket materials (Power Transformers, Distribution Transformers, Circuit Breakers, AB/XLPE Cables, Overhead Conductor (AAAC/ACSR), Insulator which involves more and important testing procedures and hence the inspection of these materials will be carried out in the factory before the dispatch of the material. b) In addition, Employer shall also ensure that for major materials as discussed above, samples from 1st lot and one other lot randomly selected by the Employer shall be directly sent to NABL accredited test labs for third party testing. It is also to be noted that material clearance of the lots under testing shall only be given post receipt of successful test results. Contractor shall also mandatorily depute its authorized official for pre – dispatch inspection at manufacturing facility along with the Employer officials. The inspection and testing report would be jointly signed by the Employer and the Contractor. All the expenses related to testing would be borne by the Contractor. c) Apart from the above-mentioned protocol any one power transformer shall be selected by Employer from the supply schedule from the vendor, which shall be jointly sealed and tested for short circuit testing on turnkey-Contractor's expenses. 2) Category – B (On-site inspection): This category includes the materials for which a factory inspection is not warranted and the material can be inspected upon arrival at the site before the installation. In case the Employer is apprehensive about the quality of the material supplied it reserves the right to send the selected lot to the NABL accredited testing lab for third party testing. 3) Employer also reserves the right to send any installed equipment / materials to the NABL accredited testing lab for testing. The Employer would have to reimburse the expenses related to transportation of material from site to testing lab and all testing expenses in this regard. 4) The material which has to be tested at laboratory shall be sealed in the presence of authorized official of Employer and Contractor. 5) If the materials tested at Laboratory fails then the entire lot would be rejected. Contractor shall bear the responsibility of sending back such failed materials from site. Any subsequent delay in contract performance due to failure of materials in the test laboratory would be on account of Contractor and no time extension would be provided by the Employer in this regard. Any LD levies in this regard would be borne by the Contractor. Pre-dispatch Inspection: Pre-dispatch inspection shall be performed on various materials at manufacturer's work place for which Contractor shall be required to raise requisition giving at least
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	10-day time to employer for allocating inspection team. Depending on requirement, inspection shall be witnessed by representatives of Employer, TPIA and Contractor/Bidder. The Contractor shall ensure receipt of material at site within 21 days from date of receipt of dispatch instructions. In case materials are not received within 21 days from date of issue of dispatch instruction, the dispatch instruction shall stand cancelled and a fresh pre -dispatch would be required to issue dispatch instruction. All expenditure incurred by Employer in performance of dispatch instruction shall be recovered from turnkey Contractor. The turnkey Contractor shall ensure that pre-dispatch inspection for materials is intimated only when the material is completely ready for inspection. On due date of inspection, if it is found that materials are not ready in required quantities or the inspection could not be carried out due to non-availability of requisite calibrated certificate of instruments with manufacturer, closing of works on scheduled date of inspection, non-availability of sufficient testing/material handling staff at manufacturer works etc., all expenditures incurred on deployment of various inspecting officials along with a fine of Rs 50,000/- inclusive of GST shall be recovered from the bills of the agency and re-inspection shall be carried out on expense of Contractor. 2nd such situation at same manufacturer/supplier shall result in rejection of name of manufacturer from list of approved vendors/sub-vendors. In case sub-standard materials (old component, re-cycled materials, re-used core material, re-used transformer coil material etc.) offered for inspection and are noticed during the inspection, materials shall be rejected, and approval of sub-vendor shall also be cancelled for all System Strengthening projects. In case, a material fails the pre-dispatch inspection as per GCC Clause 23, and also fails the subsequent repeat inspection of the rectified/replaced material, the complete lot of material under inspection will be required to be replaced by the manufacturer/supplier. If in subsequent inspection of the new lot, the material again fails the inspection, then materials shall be rejected and approval of vendor/sub-vendor shall also be cancelled for all System Strengthening projects. Third Party Inspection at NABL accredited lab: Employer shall also ensure that for major materials as discussed above samples from 1st lot and one other lot randomly selected by the Employer shall be directly sent to nearest NABL accredited lab for third party testing. In case a material fails in the test, the whole offered lot would be rejected and complete lot of material under inspection will be required to be replaced by the manufacturer/supplier. If in subsequent inspection of the new lot, the material again fails the inspection, then materials shall be rejected and the vendor/sub-vendor shall also be debarred for all System Strengthening projects. In case of default by vendors/manufacturers, Contractor/ Bidder shall also be penalized as per below table:			
<table><tr><th>Sr. No.</th><th>No. of Material/lot rejected in a project/district</th><th>% Penalty imposed on contract price</th></tr></table>	Sr. No.	No. of Material/lot rejected in a project/district	% Penalty imposed on contract price	
Sr. No.	No. of Material/lot rejected in a project/district	% Penalty imposed on contract price		

	1	>5	5%
	2	>3	2.5%
	3	>1	1%
	Penalty provision for defects found in Field inspection:		
	There are three categories of defects found in field inspection they are critical, major and minor defects. There should be a provision to impose penalty on Contractor based on the percentage of major/critical defects observed by TPQMA.		

GCC 27.1	(a) Volume of concreting: If it was observed by employer, quality monitoring agencies and/or REC/MoP that volume and quality of concreting used in foundation of support, equipment foundation, gantry structure foundation, stay set etc. are not as per requirement specified in the scope of work/technical specifications, the Contractor has to dismantle the supports, foundation and redo the concreting of all the supports in that particular section of line/redo all the foundations in that particular substation at his own cost. To ensure this, the employer reserves the right to withhold the payment of Contractor for such defective works till such time the Contractor conforms to scope of works, technical specification and tender drawings. (b) Galvanization of metallic structure: All Metallic structures & fabricated items excluding metallic supports (Steel tubular poles/H-Beam) must be galvanized. In case any metallic item found rusted during execution of works, the Contractor has to replace the item used at all places. To ensure this, the employer reserves the right to withhold the payment of Contractor for such works till such time the Contractor conforms to scope of works, technical specification and tender drawings. (c) Painting of metallic supports (Steel tubular poles/H-Beam): Painting of metallic supports in overhead lines, distribution transformer substation and Power substation shall be ensured as per specifications. In case metallic supports found rusted during execution of works, the Contractor has to remove inferior painting, clean the surface and re-paint it as per given specifications. To ensure this, the employer reserves the right to withhold the payment of Contractor for such works till such time the Contractor conforms to scope of works, technical specification and tender drawings.
GCC 27.8	The extension of Defect Liability Period, in aggregate, shall, not exceed 24 months.
GCC 27.8.1	a. The Contractor's liability for latent defects warranty shall be limited to, 5 years years reckoned from the end of Defect Liability Period including extension thereof
GCC 39.4	The quantity of items given in the Price Schedules forming part of the Contract are provisional. The variation in quantity of the items shall be within the limit of plus/minus (+/-) fifty percent (50%) for individual items. In case the quantity variation of the individual items is beyond the limit specified above, the unit rates for the quantity beyond the said limit, shall be mutually agreed based on prevailing market rates as may be fair and reasonable. It is to be noted that Employer may choose to approve a variation of upto 20% of contract value (calculated using the rates quoted at the time of bidding) which has been caused due to quantity variation. For variation of greater than 20% but less than 50% of contract value(calculated using the rates quoted at the time of bidding), Employer will need to take required approval for approving the said quantity variation.
GCC 45.2 (a)	Employer's Address
GCC	

Section - 8 : Contract Forms

1. BID SECURITY FORM

(To be stamped in accordance with Stamp Act, the Non-Judicial Stamp Paper should be in the name of the issuing Bank)

Bank Guarantee No.:

Date:

To: *(insert Name and Address of Employer)*

WHEREAS M/s. *(insert name of Bidder)*..... having its Registered/Head Office at *(insert address of the Bidder)* *(hereinafter called "the Bidder")* has submitted its Bid for the performance of the Contract for.....*(insert name of the Package)*.....under.....*(insert Specification No)*..... *(hereinafter called "the Bid")*

KNOW ALL PERSONS by these present that WE *(insert name & address of the issuing bank)* having its Registered/Head Office at*(insert address of registered office of the bank)*..... *(hereinafter called "the Bank")*, are bound unto*(insert name of Employer)*..... *(hereinafter called "the Employer")* in the sum of*(insert amount of Bid Security in figures & words)*..... for which payment well and truly to be made to the said Employer, the Bank binds itself, its successors and assigns by these presents.

Sealed with the Common Seal of the said Bank this day of 20....

THE CONDITIONS of this obligation are:

- (1) If the Bidder withdraws its bid during the period of bid validity specified by the Bidder in the Bid Form; or
- (2) In case the Bidder does not withdraw the deviations proposed by him, if any, at the cost of withdrawal stated by him in the bid and/or accept the withdrawals/rectifications pursuant to the declaration/confirmation made by him in Attachment – Declaration of the Bid; or

- (3) If the Bidder does not accept the corrections to arithmetical errors identified during preliminary evaluation of his bid pursuant to ITB Clause 33.1; or
- (4) If, as per the requirement of Qualification Requirements the Bidder is required to submit a Deed of Joint Undertaking and he fails to submit the same, duly attested by Notary Public of the place(s) of the respective executant(s) or registered with the Indian Embassy/High Commission in that Country, within ten days from the date of intimation of post – bid discussion; or
- (5) in the case of a successful Bidder, if the Bidder fails within the specified time limit
 - (i) to sign the Contract Agreement, in accordance with ITB Clause 43, or
 - (ii) to furnish the required performance security, in accordance with ITB Clause 44.
or
- (6) In any other case specifically provided for in ITB.

WE undertake to pay to the Employer up to the above amount upon receipt of its first written demand, without the Employer having to substantiate its demand, provided that in its demand the Employer will note that the amount claimed by it is due to it, owing to the occurrence of any of the above-named CONDITIONS or their combination, and specifying the occurred condition or conditions.

This guarantee will remain in full force up to and including (*insert date, which shall be the date 30 days after the period of bid validity*)....., and any demand in respect thereof must reach the Bank not later than the above date.

For and on behalf of the Bank

[*Signature of the authorised signatory(ies)*]

Signature_____

Name_____

Designation_____

POA Number_____

Contact Number(s): Tel. _____ Mobile _____

Fax Number _____

email _____

Common Seal of the Bank _____

Witness:

Signature _____

Name _____

Address _____

Contact Number(s): Tel. _____ Mobile _____

email _____

Note:

1. In case the bid is submitted by a Joint Venture, the bid security shall be in the name of the Joint Venture and not in the name of the Lead Partner or any other Partner(s) of the Joint Venture.
2. The Bank Guarantee should be in accordance with the proforma as provided. However, in case the issuing bank insists for additional paragraph for limitation of liability, the following may be added at the end of the proforma of the Bank Guarantee [*i.e., end paragraph of the Bank Guarantee preceding the signature(s) of the issuing authority(ies) of the Bank Guarantee*]:

Quote

“Notwithstanding anything contained herein:

1. *Our liability under this Bank Guarantee shall not exceed _____ (value in figures) _____ [_____ (value in words) _____].*
2. *This Bank Guarantee shall be valid upto _____ (validity date) _____.*

3. *We are liable to pay the guaranteed amount or any part thereof under this Bank Guarantee only & only if we receive a written claim or demand on or before _____ (validity date) _____.*”

Unquote

2a. FORM OF NOTIFICATION BY THE EMPLOYER TO THE BANK*(Applicable for Forfeiture of Bank Guarantee)*To: *(insert Name and Address of the issuing Bank)*

Ref.: Forfeiture of Bid Security Amount against Bank Guarantee No. dated
 for, issued by you on behalf of M/s.*(insert name of the Bidder)*

Dear Sirs,

Please refer to the subject Bank Guarantee executed by you in our favour for
 as Bid Security for the bid submitted by M/s.*(insert name of the Bidder)* against *(insert name of the Package)* ; Specification No.

As per the terms of the said guarantee, the bank has guaranteed and undertaken to pay
 immediately on demand by the Employer the amount of without any reservation,
 protest, demur and recourse. Further, any demand made by the Employer shall be conclusive
 and binding on the Bank irrespective of any dispute or difference raised by the Bidder.

In terms of the said guarantee, we hereby submit our claim/demand through this letter for
 remittance of Bid Security amount to *(insert name of the Employer)* owing to the
 occurrence of the condition referred to at Sl. No. The Bank is requested to remit the full
 guaranteed sum towards proceeds of the bid security in the form of
 Demand Draft in favour of ‘.... *(insert name of the Employer)*’, payable at*(insert place of the Employer)*....’.

Thanking you,

For.....*(Name of the Employer)***(AUTHORISED SIGNATORY)**

Copy to:

.....*(Registered Office of the Bank)*....

2b. FORM OF NOTIFICATION BY THE EMPLOYER TO THE BANK***(Applicable for conditional claim pending extension of Bank Guarantee by the Bidder)***To: *(insert Name and Address of the issuing Bank)*Ref.: Conditional Claim against Bank Guarantee No. dated for
..... valid up to issued by you on behalf of M/s.*(insert
name of the Bidder)*

Dear Sirs,

Please refer to the subject Bank Guarantee executed by you in our favour on behalf of M/s.
.....*(insert name of the Bidder)*, who have submitted this Bank Guarantee to us
towards Bid Security against *(insert name of the Package)* ; Specification No.
.....We, *(insert name of the Employer)* do hereby request you to lodge our
claim/demand against the subject Bank Guarantee for full guaranteed sum. Kindly note that
this claim/demand against the subject Bank Guarantee is without any further notice in case the
amendment to Bank Guarantee No. dated extending its validity upto
..... is not got arranged by*(insert name of the Bidder)* in our
favour and are not received by us upto In such an event you are requested to remit
the full guaranteed amount in terms of the subject guarantee in its letter and spirit and proceeds
of this Bank Guarantee shall be forwarded to us in form of demand draft in favour of ‘....
(insert name of the Employer), payable at*(insert place of the Employer)*....’.

This is without prejudice to our right under this guarantee and under the law.

Thanking you,

For.....*(Name of the Employer)*
(AUTHORISED SIGNATORY)

Copy to:

(insert Name and Address of the Bidder)- You are requested to do the needful so that the amendment to the subject Bank Guarantee
extending the validity up to is received by us by

3. FORM OF 'NOTIFICATION OF AWARD OF CONTRACT'

3a. FORM OF 'NOTIFICATION OF AWARD OF CONTRACT FOR SUPPLY OF PLANT

Ref. No. :

Date :

.....(*insert Contractor's Name & Address*).....

.....

.....

.....

[in case of Joint Venture, the aforesaid details shall be of the Lead Partner and the following shall also be included:

(Lead Partner of the Joint Venture of M/s. and M/s.)]

Attn : Mr.....

Sub. : Notification of Award for Supply of Plant Contract (Contract Part I) for

(insert name of the Package) Specification No.: National

Competitive Bidding. (Project Funding:)

(Contract Part I)

Dear Sir,

1.0 REFERENCE

This has reference to the following:

1.1 Our Request for Bids (RFB) dated

1.2 RFB/bidding documents for the subject package issued vide our letter Ref. No. dated, and downloaded by you from e-tender portal, comprising the following:

a) Part 1 : Bidding Procedures and Requirements
(Document Code No.)

b) Part 2 : Employer's Requirements
(Document Code No.)

- c) Part 3 : Conditions of Contract and Contract Forms
(Document Code No.)
- 1.2.1 Amendment/Errata No. to Bidding Documents issued to you vide our letter no. dated
(Applicable only if any Errata/Amendment to the Bidding Documents has been issued subsequently)
- 1.2.2 Clarifications to the Bidding Documents, pursuant to pre-bid conference held on, issued to you vide our letters no. dated *(Use as applicable)*

(Applicable only if any clarification to the Bidding Documents has been issued subsequently)
(INCLUDE AS FURTHER SUB-PARAGRAPHS ANY OTHER CORRESPONDENCE MADE TO THE BIDDER AFTER ISSUANCE OF BIDDING DOCUMENTS UP TO BID OPENING)
- 1.3 Technical Part (First envelope) of your Bid submitted/the Bid submitted by the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) for the subject package under Letter of Bid/Proposal reference no. dated, which was opened on *(Use as applicable)*
- 1.4 Intimation for Opening of Financial Part (Second Envelope) of Bid issued to you vide our letter no. dated
- 1.5 Price Part (Second Envelope) of your Bid/the Bid by the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) under Letter of Bid/ Proposal reference no. dated which was opened on.....*(Use as applicable)*
- 1.6 Post bid discussions we had with you on various dates from to resulting into the Minutes of Meeting/ Record Notes of Post Bid Discussions enclosed as APPENDIX (NOA)-1 with this Notification of Award.
- 2.0 **AWARD OF CONTRACT AND ITS SCOPE**
- 2.1 We confirm having accepted your Bid/Bid of the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) *(Use as*

applicable) (referred to at para 1.3 & 1.5 above) read in conjunction with all the specifications, terms & conditions of the Bidding Documents (referred to at para 1.2, 1.2.1 & 1.2.2 [*modify as applicable*] above) and specific confirmations recorded in the Record Notes of Post Bid Discussions (referred to at para 1.6 above), and award on you/the JV(*use as applicable*) the ‘ Supply of Plant Contract’ (also referred to as the ‘Contract Part I’) covering inter-alia supply of Plant on FOR {final place of destination (Site/ Project Site)} basis interalia including design, engineering, manufacture, testing, transportation, insurance etc. and other services, incidental thereto, , required for the complete execution of the (*insert name of Package along with name of the Project*), as detailed in the documents referred hereinabove. The scope of work inter-alia includes the following:

..... (Indicate brief Scope of Work)

The scope of work under this Notification of Award (NOA) shall also include all such items which are not specifically mentioned in the bidding documents and/or your bid but are necessary for the successful completion of your scope under the Contract for the construction of (*insert name of Package along with name of the Project*), unless otherwise specifically excluded in the Bidding Documents or in this NOA.

2.1.1 You, the Lead Partner of the JV, along with M/s., the Other Partner of JV, shall be liable jointly and severally for the execution of the Contract in accordance with terms and conditions of the Contract. As per the Power of Attorney furnished in your favour by the Joint Venture, as enclosed with Bid Proposal of the JV, you shall act as the Partner In-charge (Lead Partner) of the above Joint Venture for execution of the Contract. (*This provision shall be included only in case the Bidder is a Joint Venture*)

2.2 The notification for award of Contract for performance of all other Installation Services/ activities, as set forth in the bidding documents, viz.
..... (*Indicate brief scope of work of the Contract Part II*)
has been issued on you vide our NOA no. dated (hereinafter called the “Contract Part II” or “ Supply of Installation Services Contract”).

Notwithstanding the award of work for Completion of the Facilities under the Contract in two separate parts in the aforesaid manner, you/the JV (*use as applicable*) shall be overall responsible to ensure the execution of both the parts of the Contract to achieve successful completion and taking over of the Facilities/ Works under the package by the Employer as per the requirements stipulated in the Bidding Documents. It is

expressly understood and agreed by you/the JV (*use as applicable*) that any default or breach under the ‘Contract Part II’ shall automatically be deemed as a default or breach of this ‘Contract Part I’ also and vice-versa, and any such default or breach or occurrence giving us a right to terminate the ‘Contract Part II’, either in full or in part, and/or recover damages there under, shall give us an absolute right to terminate this Contract Part I, at your/JV’s (*use as applicable*) risk, cost and responsibility, either in full or in part and/or recover damages under this ‘Contract Part I’ as well. However, such default or breach or occurrence in the ‘Contract Part II’, shall not automatically relieve you/the JV (*use as applicable*) of any of your/JV’s (*use as applicable*) obligations under this ‘Contract Part I’. It is also expressly understood and agreed by you/the JV (*use as applicable*) that the Plant/equipment/goods/ materials supplied by you/the JV (*use as applicable*) under this ‘Contract Part I’, when erected, installed & commissioned by you under the ‘Contract Part II’ shall give satisfactory performance in accordance with the provisions of the Contract.

3.0 CONTRACT PRICE FOR CONTRACT PART I

- 3.1 The total Contract Price for Contract Part I for the entire scope of work under this Contract Part I shall be (*Specify the currency and the amount in figures & words*) as per the following break-up:

Sl. No.	Price Component	Amount
1.	FOR Price component	_____
Total for Supply of Plant Contract		_____

- 3.2 Notwithstanding the break-up of the Contract Price, the Contract shall, at all times, be construed as a single source responsibility Contract and any breach in any part of the Contract shall be treated as a breach of the entire Contract.
- 4.0 You/The JV (*use as applicable*) are/is required to furnish at the earliest a Performance Security(ies), as per the Bidding Documents, for an amount of (*Specify the value*) i.e. equal to [3% (Three percent)] of the Contract Price, and valid upto and including and any other securities as per the Bidding Documents. (*In case any other performance security is required to be furnished, the same is to be mentioned here*)
- 5.0 For release of advance payment (admissible as per the Bidding Documents) equal to% of the FOR Price component of the Contract Price for Contract part I, you are, inter-alia, required to furnish a Bank Guarantee for the 110% of the advance amount. The validity of the Advance Bank Guarantee shall be up to and including Further, please note that furnishing of all the Contract Performance Securities under

the ‘Contract Part I’ and ‘Contract Part II’ shall be one of the conditions precedent to release of advance under this Contract Part I.

- 6.0 All the bank guarantees shall be furnished from an eligible bank as described in the Bidding Documents.
- 7.0 The schedule for Taking Over/Completion of Facilities by the Employer upon successful Completion of the *(insert name of Package along with name of the Project)* shall be ... *(indicate the completion schedule)* months from the date of issue of this Notification of Award for all contractual purposes.
- 8.0 This Notification of Award constitutes formation of the Contract and comes into force with effect from the date of issuance of this Notification of Award.
- 9.0 You shall enter into a Contract Agreement with us within twenty-eight (28) days from the date of this Notification of Award.
- 10.0 This Notification of Award is being issued to you in duplicate. We request you to return its duplicate copy duly signed and stamped on each page including the enclosed Appendix as a token of your acknowledgement.

Please take the necessary action to commence the work and confirm action.

Yours faithfully,

For and on behalf of

.....*(Name of the Employer)*.....
(Authorised Signatory)

Enclosures:

APPENDIX (NOA) – 1 - Record Notes of Post - Bid Discussions held on various dates
 from to

3b. FORM OF 'NOTIFICATION OF AWARD OF CONTRACT' FOR INSTALLATION OF PLANT AND EQUIPMENT

Ref. No. :

Date :

.....(*insert Contractor's Name & Address*).....

.....

.....

.....

[in case of Joint Venture, the aforesaid details shall be of the Lead Partner and the following shall also be included:

(Lead Partner of the Joint Venture of M/s. and M/s.)]

Attn : Mr.....

Sub. : Notification of Award for Supply of Installation Services Contract (Contract Part II) for (*insert name of the Package*) Specification No.: Domestic Competitive Bidding. (Project Funding: Domestic).

(Contract Part II)

Dear Sir,

1.0 REFERENCE

This has reference to the following:

1.1 Our Request for Bids (RFB) dated

1.2 RFB/ bidding documents for the subject package issued vide our letter Ref. No. dated, and downloaded by you from e-tender portal, comprising the following:

- a) Part 1 : Bidding Procedures and Requirements
(Document Code No.)
- b) Part 2 : Employer's Requirements
(Document Code No.)

c) Part 3 : Conditions of Contract and Contract Forms
(Document Code No.)

1.2.1 Amendment/Errata No. to Bidding Documents issued to you vide our letter no. dated
(Applicable only if any Errata/Amendment to the Bidding Documents has been issued subsequently)

1.2.2 Clarifications to the Bidding Documents, pursuant to pre-bid conference held on, issued to you vide our letters no. dated (Use as applicable)
(Applicable only if any clarification to the Bidding Documents has been issued subsequently)

(INCLUDE AS FURTHER SUB-PARAGRAPHS ANY OTHER CORRESPONDENCE MADE TO THE BIDDER AFTER ISSUANCE OF BIDDING DOCUMENTS UP TO BID OPENING)

1.3 Technical Part (First envelope) of your Bid submitted/the Bid submitted by the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) for the subject package under Letter of Bid/ Proposal reference no. dated, which was opened on (Use as applicable)

1.4 Intimation for Opening of Financial Part (Second Envelope) of Bid issued to you vide our letter no. dated

1.5 Price Part (Second Envelope) of your our Bid/the Bid by the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) under proposal reference no. dated, which was opened on.....(Use as applicable)

1.6 Post bid discussions we had with you on various dates from to resulting into the Minutes of Meeting/ Record Notes of Post Bid Discussions enclosed as APPENDIX (NOA)-1 with this Notification of Award.

2.0 AWARD OF CONTRACT AND ITS SCOPE

2.1 We confirm having accepted your Bid/Bid of the Joint Venture (JV) of M/s. (Lead Partner) and M/s. (Other Partner) (Use as

applicable) (referred to at para 1.3 & 1.5 above) read in conjunction with all the specifications, terms & conditions of the Bidding Documents (referred to at para 1.2, 1.2.1 & 1.2.2 [*modify as applicable*] above) and specific confirmations recorded in the Record Notes of Post Bid Discussions (referred to at para 1.6 above), and award on you/the JV(*use as applicable*) the ‘Supply of Installation Services Contract’ (also referred to as the ‘Contract Part II’) for providing/ supplying all Installation Services (excluding the incidental services included in Contract Part I), interalia, unloading and handling of Plant, all labor, Contractor’s equipment, temporary works, materials, consumables, design and preparation of layout, engineering drawings, and all matters and things of whatsoever nature, including testing, pre-commissioning, guarantee tests and commissioning, the provision of as-built drawings, operations and maintenance manuals, training, etc., applicable and necessary for the proper execution of the installation and other services, at final destination (Site/ Project Site), related to and incidental to successful installation of the Plant supplied under the Contract Part I. as set forth in the bidding documents, viz. (*Indicate brief scope of work*) for the (*insert name of Package along with name of the Project*)....

The scope of work under this Notification of Award (NOA) shall also include all such items which are not specifically mentioned in the bidding documents and/or your bid but are necessary for the successful completion of your scope under the Contract for the construction of (*insert name of Package along with name of the Project*), unless otherwise specifically excluded in the bidding documents or in this NOA.

- 2.1.1 You, the Lead Partner of the JV, along with M/s., the Other Partner of JV, shall be liable jointly and severally for the execution of the Contract in accordance with terms and conditions of the Contract. As per the Power of Attorney furnished in your favour by the Joint Venture, as enclosed with Bid Proposal of the JV, you shall act as the Partner In-charge (Lead Partner) of the above Joint Venture for execution of the Contract. (*This provision shall be included only in case the Bidder is a Joint Venture*)

- 2.2 The notification for award of Contract for Supply of Plant including Type Testing to be conducted, as set forth in the bidding documents, viz.

..... (*Indicate brief scope of work of the Contract Part I*)

has been issued on you vide our NOA no. dated (hereinafter called the “Supply of Plant Contract” or “Contract Part I”).